16. Income Tax:

The Partnership, as a limited partnership, is not subject to income tax and the tax effect of its activities accrues to the partners. NewComm, as a regular corporation is subject to income tax on its operations.

Taxable income to the General and Limited Partners differs from that reported in the statements of revenues and expenses mainly due to different treatment of operational expenses incurred since inception for tax and book purposes and due to NewComm's losses. The Partnership's operating expenses were deferred for tax purposes.

Some of these expenses will be amortized over a period not exceeding 5 years. The taxable income for the partners is determined as follows:

	2000	1999	1998
Net loss per books	$(51,755,387)	$(22,194,758)	$(11,428,678)
Add:			
Operating expenses deferred until the Partnership began operations	-	-	11,752,910
NewComm's losses	51,272,979	20,914,122	-
Taxable (loss) income	$(482,408)	$(1,280,636)	$324,232

Total operating expenses deferred through December 31, 2000 amounted to approximately $42.3 million. There are no other significant differences between taxable income (loss) for the partners and the net loss reported in the statements of revenues and expenses.

At December 31, 2000, NewComm has an operating loss carryforward amounting to approximately $72.2 million. This loss is available to offset future Puerto Rico taxable income and expires in 2007. Due to the uncertainty surrounding the realization of the related deferred tax asset, the Partnership has provided a full valuation allowance against its otherwise recognizable deferred tax asset.